

London Petro Academy Ltd

# Independent Power Producers (IPPs): Bankable Power Purchase Agreements

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**LONDON PETRO ACADEMY**  
Empowering Professionals for a Sustainable Future

**2026/2027**

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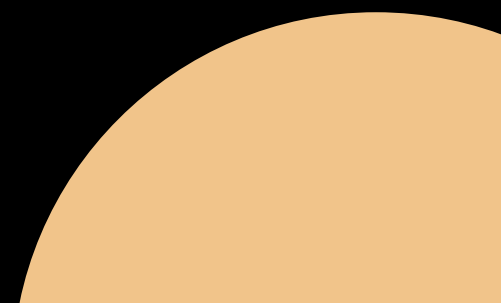




# Course Overview

This specialised course on Independent Power Producers (IPPs): Bankable Power Purchase Agreements provides a focused, project-finance perspective on how PPAs are structured, analysed and negotiated to make IPP projects bankable in challenging power-sector environments. It starts from the wider power market context—single-buyer vs wholesale markets, sector reforms, tendering approaches and offtaker creditworthiness—to explain why PPAs are mission-critical revenue guarantees for IPPs. Participants then dive into the legal, financial and technical architecture of PPAs, covering physical and financial structures, key commercial terms, risk allocation and the link to project finance ratios and lender requirements. Drawing on a database of real PPAs from around the world and case studies across multiple generation technologies, the course uses group exercises and clause-level analysis to help delegates identify hidden pitfalls, red flags and credit-enhancement needs. Throughout, PPAs are examined not in isolation, but in the context of country risk, regulatory frameworks and the overall project contract cobweb, giving a realistic picture of what truly makes a PPA bankable for IPPs.

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# COURSE OBJECTIVES

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**By the end of this course, participants will be able to:**

- Understand the role of PPAs as revenue guarantees within IPP project structures and why they are central to securing project finance.
- Analyse PPA documents hands-on, interpret key provisions and assess their impact on bankability, risk allocation and lender confidence.
- Recognise and mitigate major risks through PPA design, including timing and milestones, pre- and post-COD obligations, capacity definitions, testing and handover, and curtailment/deemed energy provisions.
- Identify red flags from both seller and buyer perspectives, such as problematic termination rights, inadequate force majeure/change-of-law treatment, and weak credit-support arrangements.
- Evaluate tariff structures (take-or-pay vs take-and-pay, capacity and energy charges, indexation and escalation, price collars, wholesale-linked pricing) and relate them to LCOE, cost of capital and PPA bid strategies.
- Understand how offtaker creditworthiness and country risk drive the need for credit-enhancement instruments, and how PPAs interact with guarantees, insurance, liquidity facilities and other support mechanisms.

These objectives are achieved through a blend of lecture-style sessions, global case studies, role plays and group work on structured risk allocation between seller and buyer.



# Course audience

This course is designed for professionals involved in developing, financing, negotiating or regulating IPP projects who need a clear, practical understanding of bankable PPAs. It is particularly relevant for project developers and sponsors, IPPs, utilities and grid operators, OEMs, EPC contractors and O&M service providers who rely on PPAs to underpin project revenues. Private equity and institutional investors, development finance institutions, commercial lenders and credit/insurance providers will benefit from the focus on PPA bankability, risk allocation and the link to project finance structures. Legal, technical and insurance advisors, as well as government officials, regulators, and executives from oil and gas upstream, petrochemical and process industries, will gain insight into how PPA terms interact with sector policy, tender design and long-term investment signals. Business developers and sales managers on both the seller and buyer side will also find the course valuable for understanding PPA negotiation dynamics and how contract choices affect project viability.







## **The Context Of The IPP Within The Power Sector**

- Power Market Structures from Horizontal and Vertical Unbundling to Privatization
- Difference of Single Buyer PPA and Wholesale market PPA
- Importance of Energy System Planning and Public Procurement of IPPs
- Competitiveness and Transparency within Tenders and Unsolicited Proposals
- Local content and potential conflicts of interest

**CASE STUDIES:** comparing two countries power sector reforms and their outcome

## **Context of the PPA within the project set-up**

- Main risks of an IPP during developing, construction and operation
- Role of project contracts to mitigate risks
- Why a PPA at all and the fit into the overall project set-up
- Understanding the link to Project Finance
- Lenders requirements and debt ratios

**CASE STUDY:** Financial Structure of a natural gas IPP in an emerging market

## **Overall structure of a PPA**

- Definition of commercial terms
- Risk to bankability
- Obligations and Undertakings of each party
- Conditions Precedents to be on the safe side
- PPA Definitions and Annexes

**GROUP WORK:** Seller & Buyer Role Play getting to terms



## PPA Timing and Milestones

- From Signing to Expiry Date
- Scheduled Dates, Actual Dates and Events
- Changing Rights and Obligations at each dates
- Release of obligations in certain events
- Pre-COD and Post-COD periods
- Periods to exercise rights, notify and cure
- Termination rights not meeting milestones

GROUP WORK: Analysis & Comparison of two PPA timelines as the core framework for allocating risk between seller and buyer

## Pre-Commercial Operation Date Period

- Order of execution of other project contracts
- Back to back requirements with the EPC contractor
- Development bonds, Performance Bonds and Letter of credits
- Fine tuning with the Fuel Supply Agreement and Interconnection Agreement
- Bankable Insurance program for the IPP and EPC contractor
- Delays caused by lack of utilities, equipment, grid connection and conditions of site
- Definitions of achieved, declared, contracted and minimum capacities
- Delay and Performance Liquidated Damages – calculation and different structures
- Testing & Handover procedures and risk to achieve COD on time
- Declaration of Commercial Operation Date – an idea becomes reality
- Deemed COD, Capacity and Energy – as-of clauses to keep going

### Post-Commercial Operation Date Period

- Delivery Point, Metering and Losses – the devil is in the detail
- Invoicing, Billing and Payments procedures or show me the money
- Impact on working capital requirements and bankability
- Availability, Planned Maintenance Outages and requested changes
- Timing and Charges for Black, Cold, Warm and Hot start
- Requirements for heat rate, fuel specifications, quality and storage
- Prudent Utility Practice, emergency procedures and manufacturer warranties
- Non-discriminatory economic dispatch and conflict of interest
- Allowed Grid Unavailability Periods, Curtailment and Deemed Energy provisions

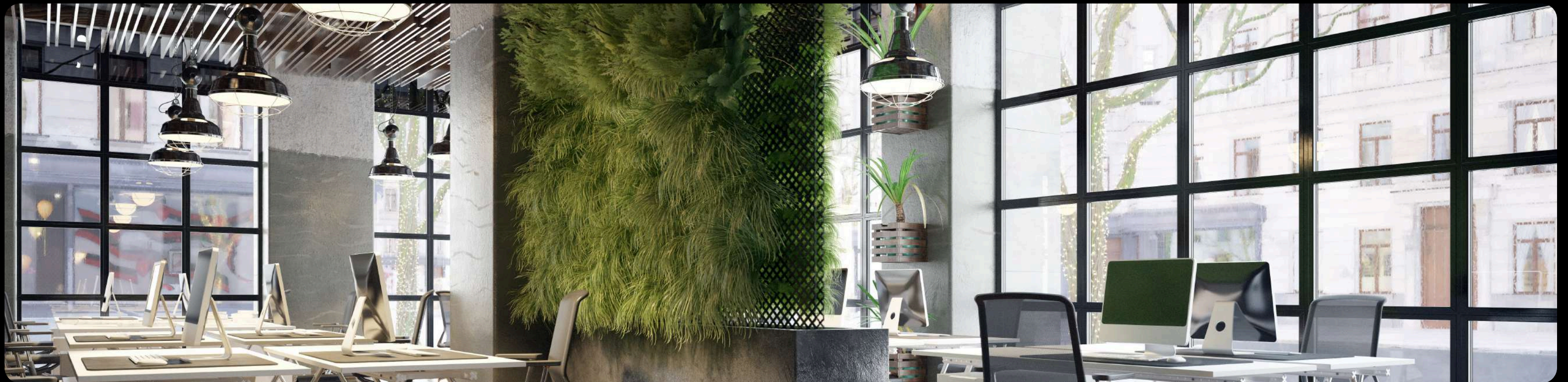
### Events beyond Business-As-Usual

- Dispute Resolution, Cure Periods and Arbitration
- Lenders Step-in Rights
- Political and Natural Force Majeure Events
- Changes of Law and Stabilization clauses
- Consequences of Force Majeure and Changes of Law
- Seller or Buyer Event of Default
- Termination rights of PPA by either side
- Put and Call options and buyout pricing methodology

**GROUP EXERCISE:** Structured Risk Allocation between Seller and Buyer



This course is available In-House and can be tailored to your specific requirements.



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# Touchpoints

## Question about this course?

Call us on +44 (0) 1582 516247 and one of our representatives will assist you with your enquiry.

3 Easy ways to register

Online: [www.londonpetroacademy.co.uk](http://www.londonpetroacademy.co.uk)

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